national income at current prices. They get more reliable and realistic data of their income).

The latest data of India's National Income, as per the new ***Economic Survey 2012-13***, is as given below:

i. **National Income** *(i.e. NNP)***:** Approximately, Rs. 45.72 lakh crores at Constant Prices and Rs. 73.99 lakh crores at Current Prices (1st Revised Estimates for the 2011-12).

ii. **Per Capita Income** *(PCI)***:** Approximately, Rs. 38,037 at Constant Prices and Rs. 61, 564 at Current Prices (1st Revised Estimates for the 2011-12).

Taxes & National Income

While accounting/calculating national income the taxes, direct taxes and indirect taxes collected by the governments, needs to be considered. In case of India, to the extent the **direct taxes** (individual income tax, corpoarate income tax i.e. the corporate tax, divident tax, interest tax, etc.) are concerned there is no need of adjustment whether the national income is accounted at factor cost or market cost. This is so because at both the 'costs' they have to be the same, besides these taxes are collected at the incomes of the concerned person or group.

But the amount of **indirect taxes** (cenvat, customs, central sales tax, sales tax/vat, state excise, etc.) needs to be taken care of if the national income is accounted at the 'factor cost' (which is the case with India). If the national income is calculated at the factor cost then the corpus of the total indirect taxes needs to be deducted from it. Why so? This is because, they have been added twice – once in the hands of the people/group who pay them (because they pay for it from their 'disposable income' while puchasing things!) and other in the hands of the governments (as their income receipts). Collection/source of the indirect taxes are the *'disposable income'* (which individuals and companies have with them after paying their direct taxes – from which they do any purchasing and finally, the indirect taxes reach the various governments!). Thus, if the national income is calculated at the factor cost, the formula to seek it will be:

National Income at Factor Cost = NNP at Market Cost – Indirect Taxes